tazdan

PROPOSAL TO THE CENTRAL BANK OF LIBYA · NOVEMBER 2026

LYDT: a digital dinar the Central Bank can supervise from day one

tazdan proposes to issue LYDT, a digital Libyan dinar backed one-for-one by dinars held at the Central Bank of Libya, under the Bank's supervision, with a built-in path for the Bank to take over issuance.

Peg	Backing	Control	Status
1 LYDT = 1 LYD	**100% at the CBL**	**CBL can pause, freeze, cap**	**Working sandbox**

Confidential. LYDT is a sandbox: no LYDT has been issued to the public, and none will be without the written authorisation of the Central Bank of Libya. Screens show test data; figures in them are illustrative.

SUMMARY

What we propose

A digital dinar that settles instantly, can be traced end to end, and never creates new money: every LYDT in circulation is matched by a dinar the Central Bank holds and attests.

How it works

A customer converts dinars in their tazdan balance into LYDT. The dinars move into a reserve account at the Central Bank of Libya; the same amount of LYDT is issued. Redeeming reverses it, at any time. LYDT moves instantly between verified customers and shops, including by QR code at the till.

What the Bank controls

Issuance can never exceed the reserve balance the Bank last attested, and stops when the statement is out of date. The Bank can pause new issuance and transfers, freeze any holder, cap any holder's balance and see supply, reserves and every movement in real time. Redemption is never paused for ordinary holders.

The path to a central-bank digital dinar

The design separates the issuer role from the supervisor role. When the Bank decides, it takes over the issuer role and revokes tazdan's. LYDT becomes a dinar issued by the Bank itself, running on infrastructure that is already in use, with tazdan as one of the wallets that distribute it.

What we ask

Admission to a supervised sandbox; a reserve account at the Bank; supervisor access for Bank staff; and agreement on a limited pilot (proposed on the last page).

WHY NOW

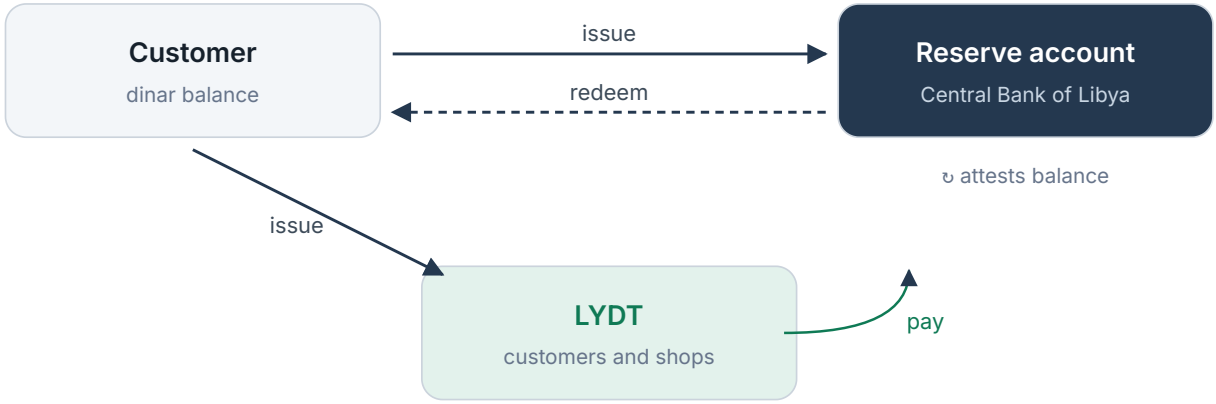
What a digital dinar solves

Cash shortages and bank queues	Dinars held as LYDT move instantly between people and shops without banknotes, while the underlying dinars stay in the Bank's custody.
Payments outside the banking system	Every LYDT movement is recorded with both parties identified, giving the Bank visibility that cash does not.
Financial inclusion	Anyone with a phone and a verified tazdan account can hold, send and receive dinars, in Arabic, without a card or a branch visit.
No new credit risk	LYDT is fully reserved at the Central Bank. It is not a deposit, pays no interest and is never lent out.
A CBDC without starting from zero	The Bank gains a working, supervised digital dinar it can adopt as its own, instead of commissioning a platform from scratch.

DESIGN

How LYDT works

Four flows, each recorded on a double-entry ledger with an audit trail.



1

Fund the reserve

tazdan moves dinars into the LYDT reserve account at the Central Bank. The Bank attests the balance; that statement sets the most LYDT that can exist.

2

Issue

A verified customer converts dinars to LYDT. Their dinar balance falls, the reserve ledger rises by the same amount, and the LYDT is issued — only if total supply stays within the attested reserve.

3

Pay

LYDT moves between verified customers and shops instantly, with the same limits, fraud checks and identity verification as every other tazdan payment.

4

Redeem

The holder returns LYDT and the same dinars return to their balance immediately. Redemption works even when issuance is paused.

THE RULE CHECKED ON EVERY OPERATION

LYDT in circulation = dinars in the reserve ledger ≤ dinars attested by the Central Bank

SUPERVISION

The Bank's powers, built in

Power	How it works	In the sandbox
Issuance limit	Supply can never exceed the latest reserve balance the Bank attested	Enforced on every issue, including simultaneous requests
Stale-statement stop	No issuance on a reserve statement older than 48 hours (adjustable)	Enforced
Pause	One switch stops new issuance and transfers; redemption continues	Enforced; staff control panel
Freeze a holder	A frozen holder cannot send, receive or redeem	Enforced, with an audit record of who and why
Holding cap	A maximum balance per holder, to protect bank deposits	10,000 LYDT per holder (adjustable)
Verified holders only	Only identity-verified customers can hold or receive LYDT	Enforced
Real-time visibility	Supply, reserves, statements and every movement, live	Public reserve report; full ledger for supervisors
Take over issuance	The Bank holds the admin role and can make itself the only issuer	Built into the token contract and tested

TECHNOLOGY

Three phases to a central-bank digital dinar

Phase	Where LYDT lives	Who issues	What moves it forward
1 · Pilot	tazdan's double-entry ledger, with the reserve at the Bank (built)	tazdan, under Bank supervision	Sandbox admission, reserve account, pilot results
2 · Shared ledger	A permissioned network the Bank operates, with tazdan and banks as participants; the LYDT contract is written and tested	tazdan	Bank decision; other banks join as wallets
3 · Central-bank dinar	The same network	The Central Bank of Libya	The Bank grants itself the issuer role and revokes tazdan's

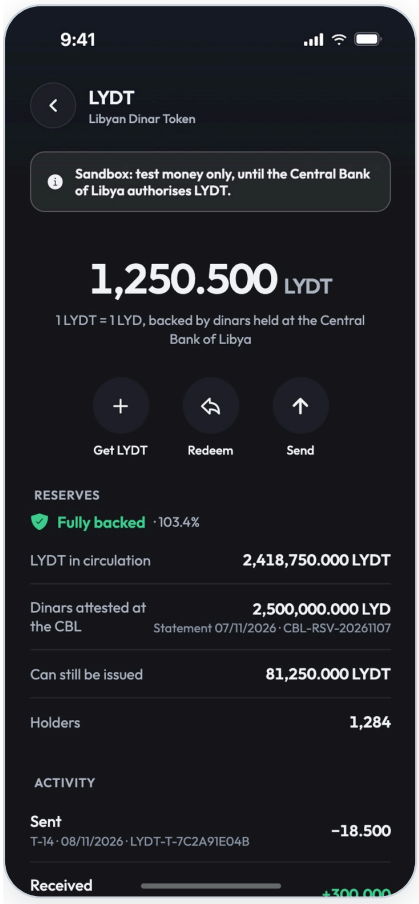
The token contract (phase 2)

A standard token (ERC-20) built on audited open-source components, with four roles: the Bank as administrator, supervisor and reserve attester; tazdan as issuer. Three decimal places (millimes). Every rule above is enforced by the contract itself.

THE WORKING SANDBOX

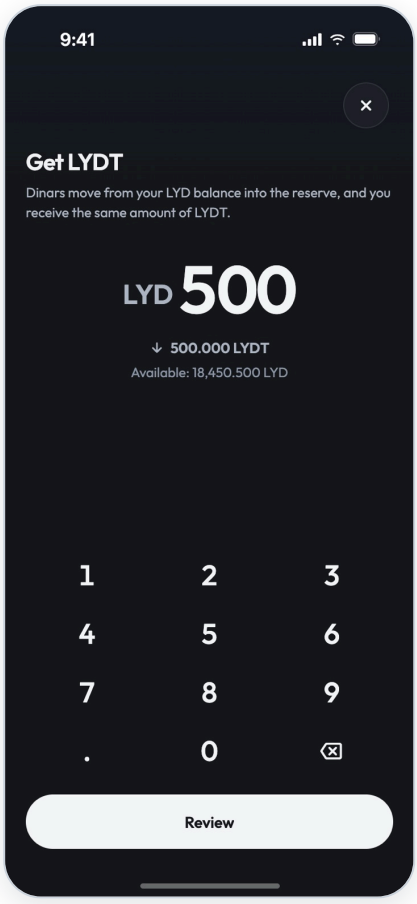
What the Bank can test today

Screens from the current tazdan app with test data. Figures shown are illustrative.



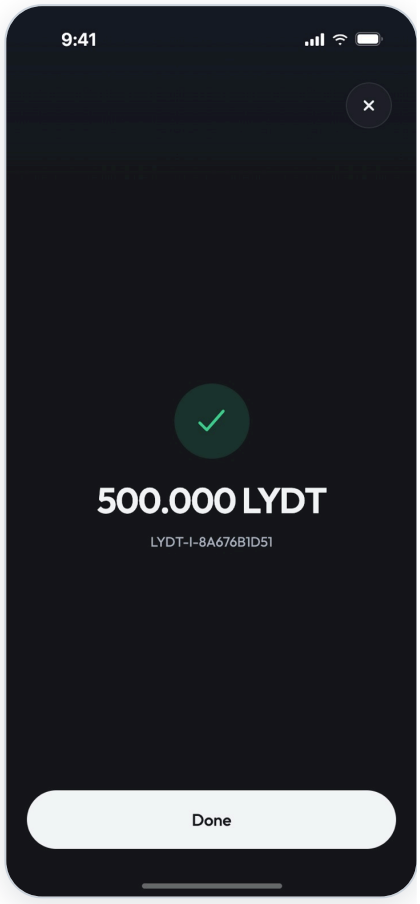
LYDT balance and live reserve report

- Balance and the peg: 1 LYDT = 1 LYD.
- Reserve report: LYDT in circulation, dinars attested at the Bank, backing ratio, the latest statement and its reference.
- Issue, redeem and send from one screen.



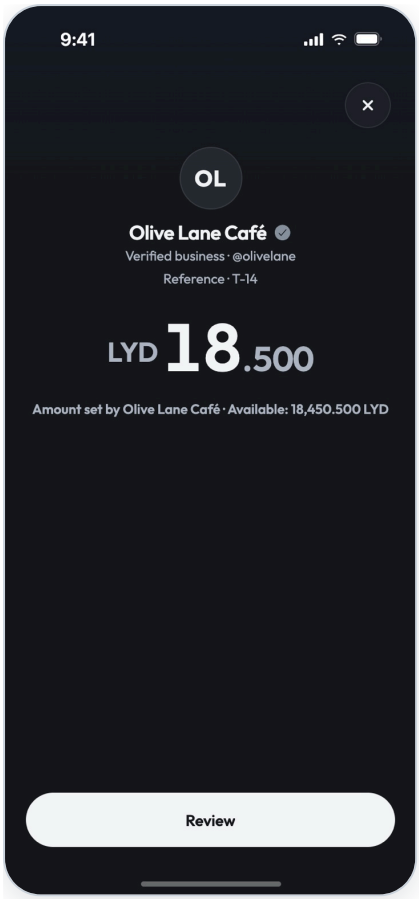
Converting dinars to LYDT

- The customer sees exactly what moves: dinars out, the same LYDT in.
- A review step before confirming; one confirmation per conversion, even on a weak connection.



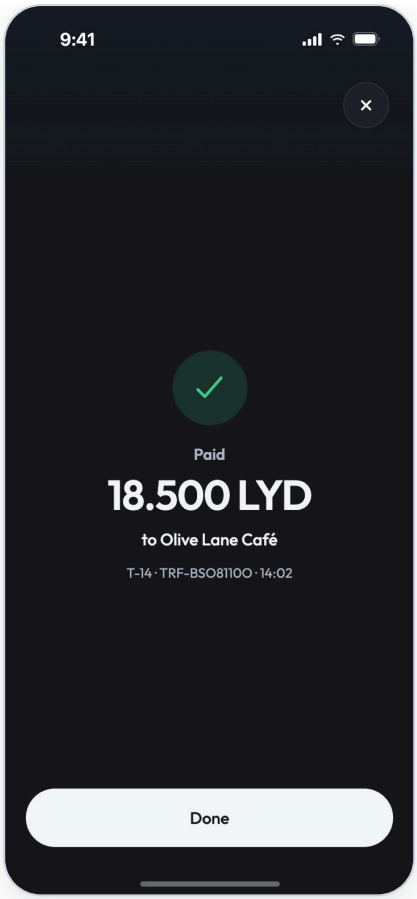
Confirmation with a reference

- Every issue and redemption carries a reference that matches the ledger entry and the audit trail.



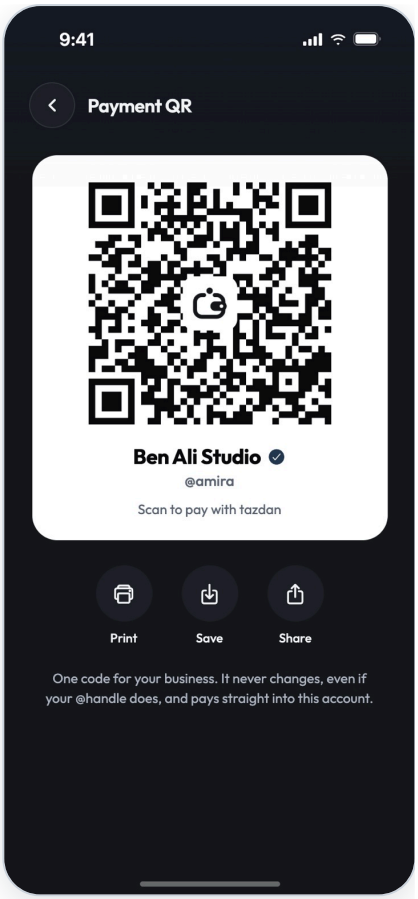
Paying a shop by QR code

- A shop's permanent QR code can carry the amount and its own reference.
- The verified business name is shown before anything moves; LYDT is offered as a payment option once held.



An instant receipt at the till

- The cashier sees the amount, the shop's reference and the transfer reference immediately.



Every business gets one QR code

- A permanent code linked to the business account, printable or saved to Apple Wallet or Google Wallet.
- Shops can accept LYDT from day one without a card terminal.

EVIDENCE

Tested, not described

Token contract	12 automated tests pass: reserve limit, stale statements, verified holders only, freezes, pause without blocking redemption, holding cap, and the Bank taking over issuance.
LYDT in the tazdan ledger	8 automated tests against a real database: issuance never exceeds the attested reserve under simultaneous requests; supply always equals the reserve ledger; retries never move money twice; redemption works while paused; frozen holders are blocked.
The wider platform	406 automated tests in 52 suites pass, covering payments, ledgers, limits, identity and security.

Before any live pilot: an independent security test, an independent review of the reserve reconciliation, and the Bank's own acceptance testing.

RISKS

Risks and how the design handles them

Risk	Safeguard
Deposits leaving banks	A per-holder cap and no interest keep LYDT a payment tool, not a savings account.
A rush to redeem	Every LYDT is backed by a dinar already at the Central Bank; redemption is immediate and never paused for ordinary holders.
Money laundering and sanctions	Verified holders only, limits by verification level, screening, monitoring and freezes, with a full audit trail.
Operational or cyber incident	One switch pauses issuance and transfers; reserves sit with the Bank, not tazdan; independent security testing before launch.
Legal basis	No LYDT is issued to the public without the Bank's written authorisation; LYDT is dinars only, with no currency conversion.
Concentration on one provider	Phase 2 opens the network to other banks as wallets; phase 3 moves issuance to the Bank.

NEXT STEPS

What we ask of the Central Bank

1. Admission of LYDT to a supervised sandbox.
2. A dedicated LYDT reserve account at the Bank, with a daily statement.
3. Supervisor access for Bank staff: the live reserve report, the full ledger and the pause and freeze controls.
4. Agreement on a limited pilot.

Proposed pilot (for discussion)

Who	Verified tazdan customers and a group of shops in Tripoli
Limits	10,000 LYDT per holder, adjustable by the Bank
Length	Six months, with Bank review at three months
Reporting	Daily reserve statements; weekly supply, activity and incident reports
Exit	The Bank can end the pilot at any time; all holders redeem to dinars

We would welcome the opportunity to demonstrate the sandbox to the Bank's team.

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